Program Name: Jack's Family Restaurants Inc. ORR 2017 **Program ID :** PRG-1049387

Operator: JACK'S FAMILY RESTAURANT

Effective Dates: August 1, 2016 through December 31, 2016 **Price Type:**

We are pleased to confirm pricing information for orders placed between August 1, 2016 and December 31, 2016 for the below named operators. During this time period, orders placed by operators through your authorized distributor will be priced by KraftHeinz to your authorized distributor at a maximum of the type for the product(s) found in the pricing table (showing prices, allowance and contract volume).

The prices do not include any distributor mark-up or distributor surcharges. Distributor mark-ups and other distributor charges are to be negotiated solely between the distributor and operator.

This letter deals with pricing, compliance and confidentiality matters only and is not to be construed as a guarantee of product availability or supply.

Sincerely,

Andrea Nichols

KraftHeinz Representative

List of Authorized Operators

Operator Number	Operator Name	Address
0200848097	JACK'S FAMILY RESTAURANT	133 W OXMOOR RD STE 215 BIRMINGHAM AL 35209-6333

List of Authorized Distributors

Customer Number	Company Name	Address
0200550689	SOUTHEASTERN FOOD MERCHANTS	201 PARKER DR PELHAM AL 35124-1924

PRG-1049387 - Fixed Price

SCC#	Product Description	H- DEVIATED DEL TRUCKLOAD-37 Pays To: Distributor
00130005119000	HNZ KETCHUP VOLPAK 13GAL	$12.00 / CS
00130005306000	HNZ MILD MUSTARD SS200 .2OZ	$2.91 / CS
00130005404000	HNZ STRAWBERRY JAM SS200 .5OZ	$7.71 / CS
00130005437000	HEINZ GRAPE JELLY SS 200 .5OZ	$6.60 / CS
00130009848000	HEINZ KETCHUP SINGLE SERVE 1000 9GM	$16.50 / CS

A. General Terms and Conditions

1. Contract prices are based on distributor full truckload purchases. All deviations will be calculated and paid based upon the Heinz published full truckload price. Full truckload is defined as the following:
   a. Delivered Core dry orders at least 42,000 pounds of order weight
   b. Delivered mixed orders at least 34,000 pounds of order weight (for orders shipped from a Heinz Portion Control Facility: Mason, Jacksonville and Chatsworth)
   c. Delivered orders of at least 28 pallets
   d. Pickup Core dry orders of at least a half truckload quantity (21,000 pounds)
   e. Pickup Frozen Soup orders at 10,000 or more pounds order weight
   f. Pickup orders from Mason, Jacksonville and Chatsworth facilities at 10,000 or more pounds order weight
2. Purchases in less than truckload quantities will incur additional charges (direct or redistribution). Heinz order minimum is 10,000 pounds. Smaller quantities are available through DOT Foods. DOT bracket up charges will apply and are the responsibility of the distributor to pay to DOT Foods. Any applicable operator rebates are not calculated using the DOT invoice price but instead the Heinz published truckload list price.
3. Pricing on a Forge contract is defined as the following:
   a. Invoice Truckload price is the price to the distributor (and does not include distributor's mark-up, freight or any other additional distribution costs) for full truckload purchases as defined in term 1 above. The distributor determines the actual selling price to the operator. Any purchases in less than truckload quantities will incur additional charges (direct of redistribution).
   b. Deviated pricing is defined as the full truckload price the operator/distributor will receive after a billback is submitted to Heinz. Deviated price billbacks are calculated by subtracting the deviated price from the full truckload price defined on the Heinz published price list.
4. Rebates are a specified dollar amount that must be claimed from Heinz regardless of the invoice price.
5. Heinz will allow distributor deviated rebates to be administered by distributor(s) only if authorized in writing by the operator. Operator rebates must be paid directly to the operator and will not be deviated through the distributor.
6. Any volume commitments identified in this agreement represent one of the considerations for the rebates offered. Future adjustments to the rebate amounts may be based on the actual volumes purchased.
7. The rebates identified are only available to the operators listed. Heinz reserves the right to deny payment of any claim for any purchases made by customers/operators who are not eligible for these rebates. These rebates are considered confidential information to be shared only with the parties listed in this agreement.
8. Acceptance of a rebate on any portion of this program from Heinz, in writing, by purchase of any of the products identified, or by submission of a claim, constitutes acceptance of that program in its entirety, and voids participation in any other Heinz program. Heinz reserves the right to terminate this offer within 90 days of the first date of the effective period if the operator has not purchased any of the products identified or at any time thereafter.
9. Acceptable proof of delivery (POD) must be submitted to Heinz prior to receipt of any rebate payment. The POD must include the name, full street address, and a unique member identification number (if available) for the operator. Heinz reserves the right to reject any claim where the POD does not meet Heinz's requirements. Heinz reserves the right to deny payment on any claims not received within 120 days after the date the products are delivered to the distributor.
10. All purchases made under this contract are also subject to Heinz' standard invoice terms and conditions of sale.
11. Heinz will not honor rebate claims for any product that is resold or delivered past its shelf life or expiration date.
12. Rebates are paid on full cases only. Partial cases are not eligible for rebates and will be disallowed.
13. Any growth, tradeshow, marketing or other similar lump sum payments are subject to additional terms and conditions provided on the applicable Forge contract.
14. No other Heinz programs apply at this operator and any prior programs or contracts are superseded and terminated.
15. Heinz reserves the right to modify or cancel this program at any time.

B. In addition to the General Terms and Conditions listed in section A above, Group Purchasing Organizations (GPO's) shall also be subject to the terms and conditions in this section B below:

1. The pricing and rebates are applicable only to the following Heinz business segments for Group Purchasing Organization (GPO) programs and purchases**:

Healthcare	Travel & Lodging	Education	Recreation	Corrections
Hospitals	Hotels	K-12	Sports Venues	Federal
Long Term Care	Resorts	Colleges & Universities	Ski Areas	State
Senior Living	Airports	Pre-School	Golf Courses	Local
	Rest Areas		Race Tracks	
			Cruise Lines	
			Camps	
			Churches	

**Segments not specifically included above are excluded

2. GPO will provide Heinz the list of GPO members who shall have the right to purchase products under this agreement. The membership list must be in Excel format and must include the name, full street address, and a unique member identification number (if available).
3. On a monthly basis, Customer must provide written notice of any proposed changes to the membership list. Heinz shall have the right to approve or deny additions or changes to the membership list on a specific program basis, in its sole discretion. The changes must be provided to Heinz in Excel format and must include the name and full street address and a unique member identification number, if available.
4. For product categories with dual specification or greater, GPO shall meet with Heinz, upon Heinz's reasonable request, to set and review compliance process and goals.
5. Customer shall grant Heinz access to the managed order guide so that Heinz can verify that products are listed in accordance with the current agreement.
6. Heinz reserves the right, in its sole discretion, to approve any sub-GPO that any GPO customer wishes to add to its program. Approval will be based on sub GPO's written agreement to comply with all above requirements and such other requirements as Heinz may in its discretion require. A sub-GPO is defined as a Group Purchasing Organization that is a member of the Group Purchasing Organization covered under this agreement.

C. In addition to the General Terms and Conditions listed in section A above, the following additional terms and conditions shall apply to any Heinz Formal Bid or Blanket Bid as noted below:

1. Formal Bid Program
   a. Heinz Formal Bid Program pricing or rebates cannot be used in conjunction with the Heinz Blanket Bid Program. Heinz reserves the right to disallow duplicate claims made under other bid programs in the event a customer submits claims under two or more different bid programs.
   b. Pricing and rebates under this program are only available to "self-operated" operator accounts (defined as operator accounts that operate their own foodservice operations). Foodservice operations managed by a chain-affiliated management company are not eligible.
2. Blanket Bid Program
   a. The Heinz/PPI Blanket Bid program excludes the following operator accounts:
      i. Military Accounts
      ii. Healthcare
      iii. Group Purchasing Organizations
      iv. Commercial Restaurants
   b. The Heinz Frozen Soup Blanket bid is only intended for the following operator accounts:

f. Private, public and parochial schools (K-12)

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